

PART 10 – ACTIONABLE RECOMMENDATIONS

1. Reduce Discounts

Problem: High discounts reduce profit.

Action: Give discounts only when needed and use targeted offers.

Expected Result: Higher profit margin.

2. Improve Low-Profit Products

Problem: Some products have high sales but low profit.

Action: Review their price, cost and discount.

Expected Result: Higher product profit.

3. Bring Back At-Risk Customers

Problem: About 7,055 customers are at risk.

Action: Send personalized offers and reminders.

Expected Result: More repeat purchases and better retention.

4. Protect VIP Customers

Problem: 469 VIP customers are at risk.

Action: Give VIP customers special rewards and offers.

Expected Result: Keep valuable customers.

5. Reduce Returns

Problem: The return rate is 6.48%.

Action: Improve product quality, size information, packaging and delivery.

Expected Result: Fewer returns and refunds.

6. Improve Marketing Spending

Problem: Google Ads has low ROI.

Action: Review Google Ads spending and focus more on high-performing channels.

Expected Result: Better marketing ROI.

7. Improve Sales in Weak Regions

Problem: Telangana and Delhi have lower revenue.

Action: Run targeted marketing campaigns in these regions.

Expected Result: Increase sales and customers.

8. Increase Repeat Purchases

Problem: Many customers do not continue purchasing.

Action: Use loyalty programs, personalized recommendations and repeat-purchase offers.

Expected Result: Better customer retention and higher customer value.

9. Track Important KPIs

Problem: Revenue alone does not show whether growth is healthy.

Action: Track Revenue, Profit, Profit Margin, Discount Rate, Return Rate, Customer Retention, Customer Churn, Marketing ROI and Customer Acquisition Cost.

Expected Result: Better business decisions.

Final Recommendation

The company should focus on profitable growth, not only revenue growth. It should reduce high discounts, improve low-profit products, reduce returns, retain at-risk customers, protect VIP customers and focus on high-performing marketing channels. This will help increase profit and customer retention.